

Institute Cargo Clauses — Reference Card

Synthetic internal-edition reference card prepared for the Commerce Agent Bench dataset. Substance summarises the London-market Institute Cargo Clauses (1/1/2009 revision). Not an official Lloyd's market or LMA publication; consult the official Joint Cargo Committee text for binding wording.

1. Quick reference

Tier	Common name	Scope
ICC(A)	All risks	Covers all risks of loss or damage to the subject matter insured, subject only to the specific exclusions stated in the clause itself. Broadest coverage.
ICC(B)	Named perils — wide	Covers loss or damage attributable to a defined list of perils (see §2). Mid-tier coverage.
ICC(C)	Named perils — narrow	Covers loss or damage attributable to a shorter list of major maritime catastrophes (see §3). Narrowest coverage.

2. ICC(B) covered perils (named)

Loss or damage to the subject matter insured reasonably attributable to:

- Fire or explosion
- Vessel or craft being stranded, grounded, sunk or capsized
- Overturning or derailment of land conveyance
- Collision or contact of vessel/craft/conveyance with any external object other than water
- Discharge of cargo at port of distress
- General average sacrifice
- Jettison
- **Washing overboard**
- **Entry of sea, lake or river water into vessel, craft, hold, conveyance, container or place of storage**
- Total loss of any package lost overboard or dropped whilst loading on to, or unloading from, vessel or craft

3. ICC(C) covered perils (named — narrower than B)

Loss or damage to the subject matter insured reasonably attributable to:

- Fire or explosion
- Vessel or craft being stranded, grounded, sunk or capsized
- Overturning or derailment of land conveyance
- Collision or contact of vessel/craft/conveyance with any external object other than water
- Discharge of cargo at port of distress
- General average sacrifice
- Jettison

Note: ICC(C) does **not** include 'washing overboard' or 'entry of water into vessel / container'. So an ordinary container-seal-failure water ingress in transit is **NOT** covered by ICC(C) (even though it is covered by ICC(B) and by ICC(A)). The vessel must be grounded / sunk / capsized, or the cargo jettisoned in general average, for ICC(C) to engage on a water-related loss.

4. Standard exclusions (apply to all three tiers unless explicitly extended)

- Wilful misconduct of the assured
- Ordinary leakage / ordinary loss in weight / ordinary wear and tear

- Insufficiency of packing prepared by the assured
- Inherent vice or nature of the cargo
- Delay (even if proximately caused by a covered peril)
- Insolvency of carriers
- War (unless War Clauses extension)
- Strikes (unless Strikes Clauses extension)

5. Theft, Pilferage and Non-Delivery (TPND)

TPND is an optional extension that may be added to any of A / B / C. Without the TPND extension, theft / pilferage / non-delivery of cargo is excluded even under ICC(A).

6. Sum insured convention

- 'Cost + 10% freight' (= 110% of invoice): standard Chinese marine market convention, also accepted in many emerging-market policies.
- 'Cost + 10%' (= 110% of invoice): the UCP 600 minimum for documentary credits.
- 'Cost only' (= 100% of invoice): bare-bones option, leaves the insured without recovery of freight or other allowable charges.

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